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NATURE OF PROCEEDINGS: Hearing on Demurrer - without
Motion to Strike

The Demurrer filed by Mortgage 2000, Inc. and South Bay
Equity Lending, Inc. is sustained in part and overruled in part.

BACKGROUND

Plaintiff Brett Alan Nelson (Plaintiff) filed this action
against Dream Team Real Estate Consultants, Inc. dba Equity Union (Equity
Union), Lisa Grayson (Grayson), Andrew Dinsky (Dinsky), Glenwood Group
(Glenwood), William Knox (Knox), Nerses Bronsozian (Bronsozian), Mortgage 2000,
Inc. (Mortgage 2000), South Bay Equity Lending, Inc. (South Bay), and Does 1
through 50, alleging that they concealed an appraisal valuing the property
Plaintiff purchased at several hundred thousand dollars less than the appraisal
they gave him.

Plaintiff purchased the real property at 11606 Otsego
Street, North Hollywood (the Property), in May 2023 for approximately
\$2,410,000, financed by a loan from Mortgage 2000. (FAC ¶¶ 8, 19-21, 25.)
Bronsozian ordered an appraisal from Glenwood and Knox valuing the Property at
approximately \$2.4 million (the False Appraisal). (FAC ¶¶ 5-7.) An earlier
appraisal valued the Property at \$2,100,000 (the Accurate Appraisal). (FAC ¶
29.) Plaintiff alleges that Mortgage 2000 and South Bay held both appraisals, closed
the loan on the higher figure, and never told him the lower one existed. (FAC
¶¶ 34, 137.) He learned of the Accurate Appraisal in October 2024, when South
Bay sent him both reports. (FAC ¶¶ 27-29.)

The causes of action are: (1) Breach of Contract; (2) Breach of the Implied Covenant of Good Faith and Fair Dealing; (3) Breach of Fiduciary Duty; (4) Breach of Statutory Duties; (5) Negligence; (6) Intentional Misrepresentation; (7) Fraudulent Inducement; (8) Negligent Misrepresentation; (9) Constructive Fraud; (10) Concealment; (11) Breach of the Implied Duty to Perform with Reasonable Care; (12) Promissory Estoppel; and (13) Violations of Business and Professions Code section 17200 et seq.

On January 13, 2026, the Court sustained in part and overruled in part Mortgage 2000 and South Bay's demurrer to the Complaint. The Court sustained the demurrer to the first, second, fifth, sixth, seventh, eighth, tenth, eleventh, and twelfth causes of action, with leave to amend. It overruled the demurrer as to the third, ninth, and thirteenth causes of action. Plaintiff had 45 days to amend and filed the First Amended Complaint (FAC) on February 27, 2026.

Mortgage 2000 and South Bay filed a Demurrer to the eighth, ninth, and tenth causes of action. Plaintiff filed an Opposition. Mortgage 2000 and South Bay filed a Reply.

REQUEST FOR JUDICIAL NOTICE

Mortgage 2000 and South Bay request judicial notice of four documents: (1) a grant deed recorded in the Official Records of Los Angeles County on May 17, 2023, as instrument number 20230320662; (2) a grant deed recorded in those records on January 15, 2025, as instrument number 20250030080; (3) a deed of trust recorded in those records on May 17, 2023, as instrument number 20230320663; and (4) this Court's January 13, 2026 ruling on the demurrer to the Complaint.

Courts may take judicial notice of the existence and recordation of real property records, including deeds of trust, when the authenticity of the documents is not challenged. (Evid. Code, § 452, subds. (c), (h); *Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal.App.4th 256, 264-265 (*Fontenot*), disapproved on another ground in *Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919, 939, fn. 13.) A court may take judicial notice of the fact of a document's recordation, the date the document was recorded and executed, the parties to the transaction reflected in a recorded document, and the document's legally operative language, and from these the court may deduce and rely upon the legal effect of the recorded

document when that effect is clear from its face. (Fontenot, supra, 198 Cal.App.4th at pp. 264-265.) Notice may be taken of a matter that cannot reasonably be controverted even where the matter negates an express allegation of the pleading. (Id. at p. 264.) However, courts may not take judicial notice of the truth of a factual recitation within the document where that matter is reasonably disputable. (Fremont Indemnity Co. v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 113.)

Plaintiff does not dispute the authenticity of the three recorded instruments. He argues only that the Court may not accept their contents as true. The Court grants the request as to Exhibits 1 through 3 and takes notice of the fact and date of recordation, the parties to each transaction, and the legally operative language of each instrument. The Court does not take notice of the truth of any reasonably disputable factual recitation within them. The Court grants the request as to Exhibit 4, this Court's January 13, 2026 ruling, as a record of this Court. (Evid. Code, § 452, subd. (d).)

LEGAL STANDARD

When considering demurrers, courts read the allegations liberally and in context. (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-721.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not on the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, courts assume the truth of the complaint's properly pleaded or implied factual allegations. (Ibid.) However, they do not accept as true deductions, contentions, or conclusions of law or fact. (Stonehouse Homes LLC v. City of Sierra Madre (2008) 167 Cal.App.4th 531, 538.)

ANALYSIS

Mortgage 2000 and South Bay demur to three causes of action: (1) the eighth, for negligent misrepresentation; (2) the ninth, for constructive fraud; and (3) the tenth, for concealment. They argue that each sounds in fraud, that the FAC identifies no person who spoke or stayed silent for either corporation, and that the allegations of reliance are conclusory. Plaintiff responds that Code of Civil Procedure section 430.41, subdivision

(b), forecloses a second demurrer to the constructive fraud claim, and that the FAC pleads each claim with the specificity the law requires of it.

I. Negligent

Misrepresentation

The elements of intentional misrepresentation are (1) a misrepresentation, (2) knowledge of falsity, (3) intent to induce reliance, (4) actual and justifiable reliance, and (5) resulting damage. (*Chapman v. Skype Inc.* (2013) 220 Cal.App.4th 217, 230-231.) Negligent misrepresentation shares those elements, except that the defendant must have lacked reasonable grounds for believing the representation true rather than have known it was false. (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 173-174.)

The tort requires a positive assertion. An implied assertion or representation is not enough, and a party may not read something into a neutral statement in order to justify the claim. (*Diediker v. Peelle Financial Corp.* (1997) 60 Cal.App.4th 288, 297-298 (*Diediker*).)

The facts constituting the alleged fraud must be alleged factually and specifically as to every element, because the policy of liberal construction of the pleadings will not ordinarily be invoked. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.) The particularity requirement obliges a plaintiff to plead facts showing how, when, where, to whom, and by what means the representations were tendered. (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.) In a fraud action against a corporation, the plaintiff must also allege the names of the persons who made the representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157 (*Tarmann*).)

Here, the FAC attributes a single representation to these Defendants. Paragraph 34 alleges that South Bay represented to Plaintiff, through its actions during the loan approval and closing process beginning in or around April 25, 2023, that the appraised value supported the loan amount and was accurate and reliable. (FAC ¶ 34.) The paragraph then alleges that South Bay and Mortgage 2000 represented, expressly and by conduct, that the valuation supporting the loan was valid and appropriate. (*Ibid.*)

A lender that funds a loan at a stated valuation is not

silent, and conduct carries an implied meaning. But negligent misrepresentation requires a statement, not an implication. (Diediker, *supra*, 60 Cal.App.4th at pp. 297-298.) The FAC does not allege that anyone at Mortgage 2000 or South Bay ever said or wrote that the Property was worth \$2,410,000. It names no speaker, identifies no document, and gives no date on which words passed between the parties. The word “expressly” appears in paragraph 34 of the FAC; the express representation does not.

The one individual the FAC names is Aileen Kanner, alleged to be an employee of Mortgage 2000 or South Bay who forwarded the loan file, including both appraisals, to Plaintiff’s business manager on October 8, 2024. (FAC ¶ 34.) Escrow closed in or around May 2023. (FAC ¶ 138.) A communication sent seventeen months after the transaction closed cannot have induced Plaintiff to enter it.

This is the defect the Court identified on January 13, 2026, when it held that the allegation that these Defendants ignored the Accurate Appraisal and closed on the higher figure states concealment rather than affirmative misrepresentation. The FAC has not changed that. Accordingly, the demurrer to the eighth cause of action is sustained without leave to amend.

II. Concealment

Defendants challenge the concealment claim on three grounds:

(1) the FAC does not allege that either Defendant knew of the Accurate Appraisal during the transaction; (2) it alleges no duty to disclose; and (3) it does not plead the omission with specificity.

A concealment claim must plead, with specificity, (1) the content of the omitted facts, (2) the defendant’s awareness of the materiality of those facts, (3) the inaccessibility of the facts to the plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, through action or forbearance, based on the defendant’s omission. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 43-44 (*Rattagan*).)

The specificity demanded of an affirmative misrepresentation does not translate to an omission. It is not practical to plead how, when, and by what means something did not happen. (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356,

1384 (Alfaro).) The requirement is relaxed as well when the allegations show that the defendant necessarily possesses full information concerning the facts of the controversy. (Tarmann, supra, 2 Cal.App.4th at p. 158.)

The FAC pleads each Rattagan element. The content of the omitted fact is the Accurate Appraisal and its valuation of the Property at \$2,100,000. (FAC ¶¶ 29, 137.) Awareness of materiality appears in the allegation that Defendants held both appraisals while evaluating the loan, identified a discrepancy of roughly \$300,000, and closed at the higher figure without reconciling it. (FAC ¶¶ 34, 137.) The inaccessibility of the fact appears in the allegation that Plaintiff never saw the Accurate Appraisal until South Bay produced it in October 2024, more than a year after escrow closed. (FAC ¶¶ 27-29.) The point of disclosure is identified: before the close of escrow in May 2023. (FAC ¶ 138.) And Plaintiff alleges that he continued with escrow in ignorance of the Accurate Appraisal and would not have purchased on those terms had he known of it. (FAC ¶¶ 138, 143.)

Knowledge is no longer alleged in the abstract. The FAC ties it to two documents: a letter from the prior lender dated April 25, 2023, transferring the loan and the appraisals, and an October 8, 2024 email forwarding a file containing both appraisals. (FAC ¶ 34.) The first is contemporaneous with the loan approval. Whether that letter, in fact, enclosed the Accurate Appraisal is a question for another day; on demurrer, the allegation is taken as true. (E-Fab, supra, 153 Cal.App.4th at p. 1315.)

The duty to disclose is pleaded, though not on the ground Plaintiff advances. Plaintiff alleges that, as his agent and loan broker, Mortgage 2000 and South Bay owed him fiduciary duties as a matter of law. (FAC ¶ 58.) That is a conclusion of law, and the Court does not accept it as true. (Stonehouse Homes, supra, 167 Cal.App.4th at p. 538.) Before a person may be charged with a fiduciary obligation, that person must either knowingly undertake to act on behalf of and for the benefit of another, or enter into a relationship that imposes that undertaking as a matter of law. (Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 221.)

Civil Code section 2923.1 makes a mortgage broker who provides mortgage brokerage services to a borrower the fiduciary of that borrower. (Civ. Code, § 2923.1, subd. (a).) A licensed person who makes a residential mortgage loan is a mortgage broker under the statute "only with respect to transactions in which the licensed person provides mortgage

brokerage services.” (Id., subd. (b)(2).) Mortgage brokerage services means “arranging or attempting to arrange, as exclusive agent for the borrower or as dual agent for the borrower and lender, for compensation or in expectation of compensation, paid directly or indirectly, a residential mortgage loan made by an unaffiliated third party.” (Id., subd. (b)(3).) Lending and brokering are not mutually exclusive. A person who makes residential mortgage loans may broker one, and the statute reaches an attempt to arrange a loan as well as an arrangement carried through. What the statute requires is a transaction in which the person provided those services.

The FAC identifies none. It alleges that Mortgage 2000 is a mortgage lender and that South Bay was the second lender on the loan. (FAC ¶¶ 8, 9.) It does not allege that either arranged or attempted to arrange a loan made by anyone else, that either acted as Plaintiff’s exclusive or dual agent in doing so, that either was compensated or expected compensation for that service, or that either is a licensed person within the meaning of the statute. Paragraph 58 supplies the label and omits the facts. As alleged, the relationship between Plaintiff and these Defendants is that of borrower and lender, not a fiduciary one. (Nymark v. Heart Fed. Savings & Loan Assn. (1991) 231 Cal.App.3d 1089, 1093, fn. 1.)

However, a fiduciary relationship is not the only source of a duty to disclose. Nondisclosure is actionable in four circumstances: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant has exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations while suppressing material facts. (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336.)

The last three presuppose some other relationship between the parties, arising from a transaction between them. (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 310-311.) That relationship exists here, as Plaintiff alleges he borrowed money from Mortgage 2000 and South Bay. Plaintiff alleges that Defendants held both appraisals while evaluating the loan, that they closed at the higher figure without reconciling the discrepancy, and that he did not see the Accurate Appraisal until South Bay sent it to him in October 2024. (FAC ¶¶ 29, 34, 137.) He alleges as well that Defendants actively concealed the Accurate Appraisal from him. (FAC ¶ 29.) Those allegations state a duty to disclose under the second and third circumstances.

Defendants’ remaining objection is that Plaintiff cannot say

which employee held the Accurate Appraisal and chose not to hand it over. The objection asks Plaintiff to plead what only Defendants know. If the appraisals sat in their loan file, as the FAC alleges, the identity of the person who read that file is information they possess and Plaintiff does not.

Nor are the reliance allegations conclusory. Plaintiff alleges that he did not know of the Accurate Appraisal, that he closed escrow without it, and that he would not have paid \$2,410,000 had he seen it. (FAC ¶¶ 138, 143-145.) Whether that reliance was justifiable is ordinarily a question of fact and may be decided as a matter of law only if reasonable minds can reach one conclusion. (*Alliance Mortgage Co. v. Rothwell* (1995) 10 Cal.4th 1226, 1239.) This is not such a case. Accordingly, the demurrer to the tenth cause of action is overruled.

III. Constructive Fraud

A. Code of Civil Procedure

Section 430.41, Subdivision (b)

Plaintiff argues that Defendants may not demur to the constructive fraud claim a second time. Code of Civil Procedure section 430.41, subdivision (b) provides “A party demurring to a pleading that has been amended after a demurrer to an earlier version of the pleading was sustained shall not demur to any portion of the amended complaint, cross-complaint, or answer on grounds that could have been raised by demurrer to the earlier version of the complaint, cross-complaint, or answer.”

In *Bennett v. Suncloud* (1997) 56 Cal.App.4th 91, 96-97, the court held that when a judge sustained a demurrer with leave to amend as to some causes of action but not others, a second judge erred by sustaining a subsequent demurrer to the entire complaint. However, *Bennett* is at odds with other cases that reach the opposite conclusion. (E.g., *Berg & Berg Enterprises, LLC v. Boyle* (2009) 178 Cal.App.4th 1020, 1036 [“[I]n spite of *Bennett*, we have previously concluded that a party is within its rights to successively demur to a cause of action in an amended pleading notwithstanding a prior unsuccessful demurrer to that same cause of action”]; (*Pacific States Enterprises, Inc. v. City of Coachella* (1993) 13 Cal.App.4th 1414, 1420, fn. 3 [Holding defendants “were entirely within their rights to demur to the third cause of action of the first amended complaint notwithstanding their prior unsuccessful efforts to demur to the third cause of action of the original complaint”].)

In light of this split of authority, the Court finds the decisions allowing a demurrer on grounds previously overruled persuasive. (See *Auto Equity Sales, Inc. v. Superior Court* (1962) 57 Cal.2d 450, 456 [“[W]here there is more than one appellate court decision, and such appellate decisions are in conflict ... the court exercising inferior jurisdiction can and must make a choice between the conflicting decisions”].) Code of Civil Procedure section 430.41 results in a forfeiture of arguments that could have been raised but were not. It does not prevent a Defendant from renewing its earlier objections.

B. The Merits

The elements of constructive fraud are (1) a fiduciary or confidential relationship; (2) nondisclosure, or another breach of fiduciary duty; (3) intent to deceive; and (4) reliance and resulting injury. (*Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105, 1131.) A fiduciary’s failure to disclose a material fact known to it, which might affect the fiduciary’s motives or the principal’s decision, may constitute constructive fraud even absent fraudulent intent. (*Assilzadeh v. California Federal Bank* (2000) 82 Cal.App.4th 399, 415.)

Constructive fraud is a species of fraud available only where a fiduciary or confidential relationship exists. (*Assilzadeh v. California Federal Bank*, *supra*, 82 Cal.App.4th at p. 415.) For the reasons stated above, the FAC does not plead facts establishing that Mortgage 2000 or South Bay was Plaintiff’s fiduciary. Paragraph 58 of the FAC asserts the status as a matter of law and leaves the supporting facts unstated, and paragraph 57 pleads in the alternative that Defendants acted as mortgage lenders or brokers. Neither paragraph alleges what these Defendants did that would make either of them a broker. Nor does the FAC allege facts of trust reposed and accepted from which a confidential relationship might arise. What it alleges is that these Defendants lent Plaintiff money.

The Court recognizes that this is inconsistent with its previous ruling. On January 13, 2026, the Court overruled these Defendants’ demurrer to the third cause of action for breach of fiduciary duty. However, upon reviewing the FAC, the Court has reconsidered that decision. The prior order overruled the demurrer to the ninth cause of action for constructive fraud because a fiduciary relationship had been alleged. A court retains the

authority to reconsider its own interim rulings on its own motion, provided it gives the parties notice and a reasonable opportunity to litigate the question. (Le Francois v. Goel (2005) 35 Cal.4th 1094, 1107-1108.)

The Court gives that notice now. It is reconsidering its January 13, 2026 ruling to the extent that ruling held the fiduciary allegation sufficient as to Mortgage 2000 and South Bay. On reviewing the First Amended Complaint, it is not clear that Plaintiff is alleging, as a factual matter, that Mortgage 2000 and South Bay acted as his broker. Accordingly, the demurrer to the ninth cause of action in the FAC is sustained with leave to amend. Plaintiff may be heard on that question at the hearing before this ruling becomes an order of the Court.

Two other rulings in the January 13, 2026 order rest on the same allegation. The Court overruled the demurrer to the third cause of action for breach of fiduciary duty on the ground now reconsidered, and it overruled the demurrer to the thirteenth cause of action under the Unfair Competition Law because the third and ninth causes of action had survived. Neither cause of action is before the Court on this demurrer, and the Court does not disturb either ruling here. The Court gives notice, however, that it is considering reconsidering the January 13, 2026 order as to the third and thirteenth causes of action, and it will hear the parties on that question at the hearing. (Le Francois, supra, 35 Cal.4th at pp. 1107-1108.

CONCLUSION

Mortgage 2000 and South Bay's Demurrer is sustained as to the eighth cause of action, without leave to amend. The Demurrer is sustained as to the ninth cause of action with leave to amend. The Demurrer is overruled as to the tenth cause of action. Plaintiff has 20 days to file a Second Amended Complaint. At the hearing, the Court will hear the parties on whether the January 13, 2026 order should be reconsidered as to the third and thirteenth causes of action (breach of fiduciary duty and violation of Section 17200).